3.6.1 Hard and soft HRM

Unit 3.6 Human resource management · 7 key points

- **Hard HRM:** staff treated as a resource to be used efficiently; short-term contracts, tight control
- **Soft HRM:** staff treated as valuable assets; development, involvement, long-term view
- **Hard HRM benefits:** lower costs, flexibility
- **Hard HRM drawbacks:** low morale, high labour turnover
- **Soft HRM benefits:** motivation, loyalty, retention
- **Soft HRM drawbacks:** costly, slower decisions
- Choice depends on the type of work, skills needed and culture